



FOR AN ECOLOGY THAT PROTECTS

OPERATING & FINANCIAL REVIEW

Consolidated Financial Statements
at December 31, 2025

(Version under review by the Statutory Auditors)



OPERATING AND FINANCIAL REVIEW

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MESSAGE FROM THE CHIEF EXECUTIVE OFFICER

Estelle Brachlianoff, Chief Executive Officer of the Group, commented:

"2025 has truly been a pivotal year, as we've successfully closed the chapter of Suez integration and we've performed a major strategic refocusing of the group portfolio towards accelerated growth and international positioning.

2025 was also another year of outperformance, with an organic EBITDA growth of +6.3%⁽¹⁾, above the target range of +5% to +6%⁽¹⁾, despite a complex environment, with a particularly robust fourth quarter.

Through the first two years of GreenUp, we have demonstrated the power of our unique positioning as an international leader of environmental services and the strength of our local foundations ensuring exceptional resilience in an uncertain world.

We are perfectly in line with GreenUp trajectory and we succeeded in growing significantly our profitability and value creation, with +11.8%⁽²⁾ growth in current net income Group share between 2023 and 2025, combined with a spectacular improvement of our ROCE post tax to a record high 9.4% in 2025, ahead of our plan.

In 2025, we resolutely resumed external growth with two major acquisitions in Water technologies and US hazardous waste, accelerating the group transformation towards more international and technology driven: more than 8.5b€ of assets will have been rotated during GreenUp. We start 2026 stronger, more agile, with significant growth potential ahead.

Demand for our services has never been higher worldwide. From Asia Pacific to the Americas, Europe to the Middle-East, environmental security is now central to industrial competitiveness, community resilience, and territorial sovereignty.

Veolia offers unique proprietary solutions for critical needs, and a global platform, enabling us to serve clients across six continents with locally-tailored solutions backed by global expertise.

We are hence fully confident for 2026 and beyond."

Emmanuelle Menning, Deputy CEO Finance and Purchasing, stated:

"Indeed 2025 results were above our expectations, and that on many grounds: first the strong improvement of our operating performance leading to an EBITDA margin close to 16%, up 150 basis points in 2 years, thanks to our multi local model; a robust operational leverage leading to an increase in current net income at a faster pace; a strong cash generation and an outstanding value creation above expectations; finally, the completion of the Suez synergies above expectations thanks to constant monitoring. We are starting 2026 in good conditions, perfectly launched for another year of solid growth of our results."

⁽¹⁾ At constant scope and forex.

⁽²⁾ At constant forex.

1

MAJOR EVENTS OF THE PERIOD

1 Major events of the period

1.1 BUSINESS AND INCOME TRENDS

EXCELLENT 2025 RESULTS: ANNUAL OBJECTIVES EXCEEDED

Fiscal year 2025 marks a fundamental strategic pivot for Veolia, which posts strong results exceeding all of its annual objectives. This performance confirms the excellent momentum following the launch of the GreenUp plan, with an acceleration in the portfolio's shift toward technology activities ("boosters") and international activities, now the main drivers of the Group's growth.

This momentum has resulted in stellar growth with revenue of €44,396 million, up +2.8% excluding energy prices and at constant scope and exchange rates, as well as increased profitability, with EBITDA showing a strong organic growth of +6.3% to reach €7,050 million thanks to the resilience of our businesses and synergies.

At the same time, Veolia continued its capital allocation policy for value creation by investing €2.3 billion in strategic acquisitions, including an expansion in Water Technologies and Hazardous Waste. This rigorous management allows the Group to achieve its objective of a return on capital employed (ROCE) of 9.4% two years earlier than forecast under the GreenUp plan, while maintaining a robust balance sheet with controlled financial leverage of 2.79x, well below the 3.0x threshold.

(€ million)	2024	2025	2025 / 2024	
			Δ at constant exchange rates	Δ at constant exchange rates & scope
Revenue	44,692	44,396	1.1 %	1.4 %
EBITDA ⁽¹⁾	6,788	7,050	5.7 %	6.3 %
Current EBIT ⁽¹⁾	3,547	3,740	7.7 %	8.9 %
Current Net income - Group share ⁽¹⁾	1,530	1,643	9.1 %	
Net Financial Debt ⁽¹⁾	-17,819	-19,657		

(1) The indicators are defined in Section 5.2 below.

Revenue as of December 31, 2025 is €44,396 million, a change of +1.4% at constant scope and exchange rates. Excluding energy prices, revenue rose +2.8% at constant scope and exchange rates.

- **France and Hazardous Waste Europe⁽¹⁾ (-0.7%)**: the Water France activity remained stable. The decline in France Waste (-3.7%) was impacted by commercial selectivity, the fall in volumes and energy prices, partially offset by the solid performance of Hazardous Waste Europe (+3.3%), boosted by tariff increases.
- **Europe⁽²⁾ (+0.1%)**: organic growth reached +3.3% excluding energy prices. The decline in Central Europe (-1.6%) masked the positive momentum in Iberia (+4.9%) and Northern Europe (+0.9%), supported by tariff indexation and commercial development.
- **Americas, Asia Pacific, Africa Middle-East⁽³⁾**: this segment was one of the main drivers of the Group's growth, with an increase of +4.1%. Latin America (+9.9%) and Africa Middle-East (+7.2%) recorded the largest increases thanks to volumes and tariffs. North America (+3.6%) benefited from a strong performance in Hazardous Waste and Regulated Water, while Asia maintained positive growth, buoyed by Japan and Taiwan in particular.
- **Water Technologies**: the business recorded growth of +3.6%, with strong acceleration in the fourth quarter (+8.0%). In this pivotal year for WTS with the acquisition of WTS's minority interests, performance was driven by high-margin activities (Products & Technologies, Services) and good volume of orders.

EBITDA as of December 31, 2025 stood at €7,050 million, an increase of +6.3% at constant scope and exchange rates. This improvement was driven by gains generated by growth and performance (+4.8%) as well as synergies (+1.5%), and favorable weather conditions (+0.5%), partly offset by the drop in commodity prices (-0.4%).

Gross operating efficiency gains as of the end of December (€399 million) were in line with our annual target.

At the end of 2025, the Group had generated €100 million in additional synergies related to the integration of Suez, bringing the cumulative amount of Suez synergies to €534 million for the 2022-2025 period. This performance exceeded the Group's initial guidance on targets of €500 million, raised to €530 million.

Current EBIT was €3,740 million, up 8.9% at constant scope and exchange rates compared to December 31, 2024.

Current net Income – Group share totaled €1,643 million as of December 31, 2025, compared with €1,530 million at the end of 2024, an increase of 9.1% at constant exchange rate.

Net financial debt totaled €19,657 million as of December 31, 2025, up €1,837 million from December 31, 2024, mainly due to net financial investments made over 2025.

⁽¹⁾ France and Hazardous Waste Europe, new IFRS8 segment designation previously "France and Special Waste".

⁽²⁾ Europe, new IFRS8 segment designation previously "Europe excluding France".

⁽³⁾ Americas, Asia Pacific, Africa Middle-East, new IFRS8 segment designation previously "Rest of the World".

1.2 CHANGES IN GROUP STRUCTURE - STRATEGIC PROGRAM

1.2.1 Innovations and commercial developments

In 2025, as part of the rollout of the Green Up strategic plan, the Group continues its innovation efforts and strengthens its commercial footprint both in its historical businesses, which ensure its solidity, and in its new activities identified as growth boosters, true catalysts for future expansion.

Strongholds

■ Australia: Veolia awarded a major contract of AUD \$850 million over 20 years for an innovative recycling facility

Veolia was awarded a strategic contract in Canberra for the construction and operation of an ultramodern recycling plant. This large-scale project will process 1.3 million metric tons of materials over 20 years, create 136 jobs and reduce carbon emissions by 26,000 metric tons per year, thanks to cutting-edge technologies and integrated solar production. This initiative, which is part of Veolia's GreenUp strategic program, strengthens the Group's presence in Australia where it recorded growth of 7.7% in 2024.

■ In July 2025, Veolia announced a £70 million investment to build the UK's first closed-loop plastic recycling plant in Battlefield, Shropshire.

The plant, which will be operational in early 2026, will process 80,000 metric tons of plastic per year, including PET trays. It will specialize in closed-loop PET recycling, allowing trays to be recycled into food-grade materials. It will create more than 130 local jobs while reducing carbon emissions by up to 70% compared to using virgin materials. This investment is part of Veolia's overall plan to invest £1 billion by 2030 in the UK's circular economy.

■ Chile: Veolia wins the operation of the country's first municipal and industrial desalination plant in Valparaíso

Veolia has been awarded the operation and maintenance contract for Aguas Pacifico's desalination plant in Valparaíso, the first in Chile with a capacity of 1,000 Liters per second. With an initial duration of four years and renewal clauses extending until 2040, the contract also covers the management of the 105 km pumping system. This victory over five international competitors confirms Veolia's global leadership in desalination, with the Group having designed 18% of the world's installed capacity in this field.

Boosters

■ Desalination, a futuristic solution for water access

Desalination is becoming a key solution to water scarcity, with significant progress in energy efficiency and costs. Veolia aims to double its operated capacity by 2030 in a rapidly growing desalination market. This ambition is materializing in major contracts recently won in the United Arab Emirates (Mirfa 2, Hassyan), the United Kingdom (Cornwall) and Morocco (Rabat).

■ Start of a new electric flexibility asset in Hungary

Following the acquisition of Danubius Hungary (as detailed in Section 1.2.2), Veolia began operating the Gönyü gas power plant in January 2025. This facility includes an additional gas turbine and has the required permits to build a second 428 MW unit (Gönyü II), with the possibility of integrating the newly acquired turbine.

■ Tahwil: A strategic opportunity in hazardous waste treatment in Saudi Arabia

The Tahwil project concerns the construction and operation of a hazardous waste treatment plant in the city of Jubail in Saudi Arabia. In a favorable context, with demand of over 1 million metric tons per year, Veolia seized an opportunity to position itself as a major player in the region. The operation began successfully in February 2025.

■ Inauguration in June 2025 of one of the largest PFAS treatment plants in the United States, located in Stanton, Delaware

The plant, which represents an investment of \$35 million, will treat approximately 120 million liters of water per day and provide high quality drinking water to more than 100,000 residents, in accordance with EPA regulations. This project is part of Veolia's "BeyondPFAS" offering, which aims to roll out more than 100 treatment sites in the United States to serve nearly 2 million Americans.

■ In July 2025, Veolia announced that it had won Brazil's first public tender for water reuse

Vitória water reclamation station will be the world's first large-scale facility to convert a municipal wastewater treatment plant into a water reuse production station using membrane bioreactors and reverse osmosis. The project will save and preserve freshwater resources equivalent to the needs of nearly 200,000 people.

■ In September 2025, Veolia announced the signing of a historic agreement as part of the consortium composed of Veolia, Marafiq, Lamar, and SATORP (joint venture between Saudi Aramco and TotalEnergies Refining and Petrochemical Company) to launch a major industrial water initiative for the treatment and recycling of complex petrochemical effluents from "Jubail Industrial City" in Saudi Arabia

This US\$500 million project includes the construction, operation and maintenance (for 30 years from 2028) of the largest industrial wastewater reuse plant in the Middle East, with an annual capacity of approximately 8.8 million m³. The plant will boast Veolia's latest technologies, as part of the company's GreenUp strategic program.

■ On November 12, 2025, Veolia Australia announced that it had secured contracts worth AU\$700 million with major public water utilities to drive technological innovation in water management in Australia

These include two new agreements with Central Highlands Water and Hunter Water, as well as a contract extension with Seqwater for the Gold Coast desalination plant. The company will use cutting-edge technologies, such as its Hubgrade digital platform, to improve operational performance, strengthen water security and reduce energy consumption.

■ On November 21, 2025, Veolia signed an agreement to acquire Clean Earth, a major US player in Hazardous Waste

Clean Earth will be acquired in 2026 for an enterprise value of US\$3 billion (around €2.6 billion). This acquisition is considered the largest for Veolia since the merger with Suez, allowing the company to double its size to become number two in the key Hazardous Waste sector in the United States. The transaction provides a national operating platform with 82 sites, including 19 facilities approved by the Environmental Protection Agency (EPA), and strengthens Veolia's exposure to high-growth sectors such as healthcare, semiconductors and clean energy. The transaction is expected to be completed by mid-2026, subject to standard conditions precedent, such as the approval of the Enviro shareholders, and receipt of the necessary regulatory authorizations and approvals.

■ On November 25, 2025, Veolia unveiled a major project to phase out coal from Poznań's district heating network by 2030

The first phase of the project involves commissioning a new multi-energy cogeneration unit. This investment will result in a 25% reduction in CO₂ emissions and the removal of more than 300,000 metric tons of coal per year. The second phase will see the addition of innovative and renewable heat sources, including geothermal energy and data center and wastewater heat recovery.

- On December 5, 2025, Veolia and Science City Guangzhou Investment Group signed a partnership agreement to jointly develop an innovative decarbonization project in the Guangzhou Development Zone, China

The project harnesses Veolia's technologies to capture and recycle industrial flue gases by converting residual heat into steam and electricity. Once completed, it will result in an annual reduction of 200,000 metric tons of CO₂ while providing a new energy source for local businesses.

Strengthening of capital

- **A major strategic partnership: CriteriaCaixa's entry into Veolia's capital**

The Group announced on March 4, 2025, the strengthening of its shareholder structure with the entry of CriteriaCaixa, the investment company of La Caixa Foundation. This leading institutional investor acquired 5% of the capital of the global environmental services leader and obtained representation on the Board of Directors.

- **Bpifrance and the Lac1 fund invest in Veolia's future**

Veolia has taken a new step in its development strategy with the significant entry of Bpifrance and its Lac1 fund into the Group's capital, representing an investment of €800 million. This strategic alliance announced on March 17, 2025 demonstrates the confidence placed in the leader in ecological transformation, and resulted in the appointment of a Bpifrance representative to the Board of Directors. This major investment underlines the recognition of Veolia's growth potential and its crucial role in the ecological transition of regions and industries. It strengthens the Group's position as a key player in the fight against climate change, while consolidating its governance and innovation capacity.

Strategic partnerships

- **In July 2025, Veolia announced a three-year strategic partnership with AFD (Agence Française de Développement)**

This partnership aims to accelerate the ecological transformation in developing countries, combining Veolia's environmental services expertise with AFD's implementation capacity. Water and sanitation, waste management, and energy are the priority areas with targeted deployment in Latin America, Central Asia, the Balkans, Africa and the Middle East.

- **In October 2025, Veolia announced a partnership with TotalEnergies to accelerate the energy transition and the circular economy**

The two companies will collaborate in several key areas: reducing methane emissions, reducing the industrial sector's water footprint, making desalination more sustainable and recovering strategic resources from waste.

1.2.2 Changes in Group structure

The main changes in scope as of December 31, 2025 were as follows:

- **Acquisition of an electricity flexibility business in Hungary**

On February 14, 2024, Veolia Hungary signed a Share Purchase Agreement for the acquisition of Danubius from Uniper.

After obtaining the approvals from the European Union competition authority, the closing of the transaction was carried out on January 6, 2025 for an amount of €271 million*, equal to a securities price of €366 million.

- **Acquisition of the 30% minority interests in Water Technologies and Solutions**

Veolia announced, as of May 7, 2025, the signature of an agreement with Caisse de Dépôt et Placement du Québec (CDPQ) to acquire its 30% stake in Water Technologies and Solutions (WTS), giving Veolia 100% control, thereby increasing value creation, simplifying the structure, and making additional cost synergies of approximately €90 million by 2027, including €20 million by the end of December. The purchase price for the acquisition is US\$1.75 billion, equivalent to €1.5 billion.

This acquisition is a logical step in the deployment of the GreenUp strategic plan, which aims to strengthen the Group's foothold in Water Technologies activities and in the United States, both identified as priority growth boosters.

The acquisition of CDPQ's minority interests thus strengthens Veolia's unique positioning as a global leader in Water Technologies.

The acquisition of the additional 30% of WTS, being recognized as a transaction between shareholders, has no impact on the amount of goodwill recognized in 2022 at the time of the initial acquisition. The impact of the transaction on the Group's equity amounts to -€1,380 million.

As part of the GreenUp ambition, Veolia is increasing its leadership in Hazardous Waste Treatment with major investments in new capacity and targeted tuck-in acquisitions:

- **Acquisition of specialist hazardous waste treatment businesses in the United States**

Veolia has expanded with four acquisitions that enhance both regional coverage and treatment capacity.

In Massachusetts, the Group acquired a Hazardous Waste Treatment site and emergency response operations through New England Disposal Technologies, as well as the state's only permitted Medical Waste Treatment and Storage facility, Bio-Med Innovations, formerly operated by New England MedWaste.

These assets significantly strengthen Veolia's position in the Northeast of the US, a region with high regulatory standards.

On the West Coast of the United States, Veolia acquired a major platform in California through Ingenium, adding extensive packaging, logistics, and multi-stream treatment capabilities across Hazardous Waste – expanding service to a broad industrial and institutional client base in one of the largest U.S. waste markets.

In the semiconductor industry, Veolia acquired Chameleon Industries Group, a Texas-based producer of specialty chemical products. The company's circular economy technology uses byproducts from the semiconductor manufacturing process in its proprietary applications, reduces waste and creates beneficial products for industry. This acquisition expands Veolia's leadership in providing innovative environmental solutions to cutting-edge manufacturing and technology companies in North America.

The total amount of these acquisitions is €247 million*.

- **Acquisition of a hazardous waste treatment and storage business in Japan**

On May 16, 2025, Veolia signed the acquisition of Zeeklite Co. LTD, which operates one of the country's largest private hazardous waste storage facilities in Yonezawa City.

Specializing in the disposal of hazardous waste, general industrial waste, and contaminated soil, Zeeklite strengthens Veolia's ability to offer fully integrated waste management services in the country.

Financial closure took place on May 30, 2025 for an amount of €85 million*.

(*) corresponds to net financial investments.

1.3 GROUP FINANCING

1.3.1 Group debt structure

Net financial debt is €19,657 million as of December 31, 2025.

The level of cash as of December 31, 2025 stood at €9,974 million, after the repayment of bonds convertible and/or exchangeable for new or existing shares maturing on January 1, 2025 for an amount of €336 million and two bonds maturing on April 3, 2025 and September 10, 2025, each for an amount of €500 million.

The Group also has at its disposal a multi-currency syndicated loan, with a total undrawn amount of €4,500 million as of December 31, 2025, as well as bilateral credit facilities with a total undrawn amount of €1,438 million as of December 31, 2025.

This enables it a solid net liquidity position of €6,885 million as of December 31, 2025, after taking into account current debts (including bank overdrafts and other cash position items) payable in the amount of €9,026 million.

1.3.2 Bond debt management

On May 13, 2025, Veolia issued its first green bond, in the form of a green hybrid bond, for €500 million with a coupon of 4.371% until its first reset date in August 2030.

On June 17, 2025, Veolia issued a two-tranche bond of €850 million at a rate of 3.324% maturing in June 2032 and €650 million at a rate of 3.795% maturing in June 2037.

On September 17, Veolia issued a hybrid bond in the amount of €850 million bearing a coupon of 4.322% until the first reset date in January 2033.

In addition:

- in the United States, on January 15, 2025, Veolia Utility Resources LLC drew down a US\$200 million (€184 million equivalent) private placement bond issue at a rate of 5.72% maturing in 2055.
- in Chile, on January 30, 2025, Aguas Andinas issued a bond of 4 million Chilean Units of Account (CLF) (equivalent to €161 million) at a rate of 3.19%, maturing in 2046.

1.3.3 Confirmation of the credit outlook

On November 25, 2025, Standard and Poor's confirmed Veolia Environnement's credit rating at A-2/BBB with a stable outlook. On December 2, 2025, Moody's confirmed the Group's rating at P-2/Baa1 with a stable outlook.

1.3.4 Dividend payment

The Combined General Meeting of April 24, 2025 approved payment of a dividend of €1.40 per share for 2024, payable in cash. The 2024 dividend was paid on May 14, 2025 for an amount of €1,023 million.

A dividend of €1.50 per share is proposed to shareholders for 2025, subject to the approval of the General Meeting on April 23, 2026.

1.4 APPOINTMENT OF STATUTORY AUDITORS

At the Combined General Meeting held on April 24, 2025, Deloitte & Associés was appointed as statutory auditors in charge of certifying the financial statements (parent company and consolidated) and

sustainability information, respectively for a six-year period that will end at the close of the Shareholders' General Meeting called to approve the financial statements for the fiscal year ending December 31, 2030.

1.5 FREE SHARE AND PERFORMANCE SHARE PLANS AND GROUP SAVINGS

In addition to the long-term incentive plans outlined in Chapter 2 of the amendment to the 2024 Universal Registration Document, the Company has reaffirmed its commitment to involving its employees in the company's development and value creation by launching a new employee share ownership program. On June 10, 2025, the Group announced the launch of an employee shareholding scheme open to around 190,000 Group employees.

The subscription rate was close to 45%, with more than 85,000 employees choosing to subscribe. As a result of the transaction, Group employees further increased their position as Veolia's largest shareholder by holding more than 9.5% of the Company's share capital.

To neutralize the dilutive effect of the transaction, Veolia proceeded with a concurrent capital reduction through cancellation of treasury shares acquired under the share buy-back program. The total share capital therefore remains unchanged after these transactions.

Through this new transaction, Group employees have strengthened their position as Veolia's largest shareholder. This success again reflects the commitment of Group employees to the objectives set out in the GreenUp 24-27 strategic plan.

1.6 CHANGES IN GOVERNANCE

As part of the annual re-election of the Board, the Board of Directors' meeting of March 11, 2025 noted the expiration of the terms of office of two directors at the end of the General Meeting of April 24, 2025 (Mr. Pierre-André de Chalendar and Mrs. Marion Guillou) and that Mrs. Marion Guillou did not seek the renewal of her term of office at the end of that General Meeting. In addition, the Board of Directors noted that the term of office of Mr. Francisco Reynès would expire, at his request, at the end of that General Meeting.

At the recommendation of the Nominations Committee, the same Board of Directors' meeting decided to ask the General Meeting to renew the term of office of Mr. Pierre-André de Chalendar as director, and appoint Mr. Philippe Brassac, Mr. Arnaud Caudoux and Mrs. Elena Salgado as directors.

The Veolia Environnement Combined General Meeting of April 24, 2025:

- renewed the term of office of Mr. Pierre-André de Chalendar as director; and
- appointed Mr. Philippe Brassac, Mr. Arnaud Caudoux and Mrs. Elena Salgado as directors,

for a four-year period expiring at the end of the General Meeting called to approve the financial statements for the year ending December 31, 2028.

At the date of this document, the Veolia Environnement Board of Directors had fifteen directors, 75% of whom were independent directors (excluding the two directors representing employees and the director representing employee shareholders), 54%⁽¹⁾ of whom were women, and one non-voting member (censeur):

- Mr. Antoine Frérot, Chairman of the Board of Directors;
- Mrs. Estelle Brachlianoff, Chief Executive Officer;
- Mr. Pierre-André de Chalendar*, Senior Independent Director;
- Mr. Olivier Andriès*;
- Mrs. Maryse Aulagnon;
- Mrs. Véronique Bédague*;
- Mr. Philippe Brassac*;
- Mr. Arnaud Caudoux*;
- Mrs. Isabelle Courville*;
- Mr. Franck Le Roux, Director representing employees;
- Mrs. Julia Marton-Lefèvre*;
- Mrs. Agata Mazurek-Bąk, Director representing employee shareholders;
- Mr. Pavel Páša, Director representing employees;
- Mrs. Elena Salgado*;
- Mr. Guillaume Texier*;
- Mr. Enric Xavier Amiguet i Rovira, non-voting member (censeur).

* Independent member.

The composition of the Board Committees is:

- **Accounts and Audit Committee:** Mr. Guillaume Texier (Chairman), Mr. Olivier Andriès, Mrs. Véronique Bédague, Mr. Arnaud Caudoux, Mr. Franck Le Roux (Director representing employees) and Mrs. Agata Mazurek-Bąk (Director representing employee shareholders);
- **Nominations Committee:** Mr. Pierre-André de Chalendar (Chairman), Mrs. Maryse Aulagnon, Mr. Philippe Brassac, Mrs. Isabelle Courville and Mr. Antoine Frérot;
- **Compensation Committee:** Mr. Olivier Andriès (Chairman), Mrs. Maryse Aulagnon, Mr. Pierre-André de Chalendar, Mr. Franck Le Roux (Director representing employees) and Mrs. Elena Salgado;
- **Research, Innovation and Sustainable Development Committee:** Mrs. Isabelle Courville (Chairwoman), Mr. Arnaud Caudoux, Mrs. Julia Marton-Lefèvre, Mr. Pavel Páša (Director representing employees), Mrs. Elena Salgado and Mr. Guillaume Texier. Mr. Enric Amiguet i Rovira is a permanent guest of this committee;
- **Purpose Committee:** Mr. Antoine Frérot (Chairman), Mr. Olivier Andriès, Mrs. Maryse Aulagnon, Mr. Philippe Brassac, Mr. Pierre-André de Chalendar, Mrs. Isabelle Courville, Mr. Franck Le Roux (Director representing employees) and Mr. Guillaume Texier.

The Chief Executive Officer is assisted in the performance of her duties by an Executive Committee, a discussion, consultation and general policy decision-making body which seeks to implement the Group's strategic direction. The Committee is also consulted on major issues concerning the Group's corporate life.

The Executive Committee meets monthly.

As of the date of this document, the Company's Executive Committee had 14 members:

- Estelle Brachlianoff, Chief Executive Officer;
- Sébastien Daziano, Senior Vice-President, Strategy, Innovation & Development;
- Gavin Graveson, Senior Executive Vice President, Northern Europe;
- Philippe Guitard, Senior Executive Vice President, Central and Eastern Europe;
- Éric Haza, Chief Legal Officer;
- Anne Le Guennec, Senior Executive Vice President, Worldwide Water Technologies;
- Christophe Maquet, Senior Executive Vice President, Veolia Asia Pacific;
- Emmanuelle Menning, Deputy Chief Executive Officer Finance and Purchasing;
- Gustavo Migués, Senior Executive Vice President, Iberia and Latin America;
- Jean-François Nogrette, Senior Executive Vice President, France and Special Waste Europe;
- Laurent Obadia, Deputy CEO in charge of Stakeholders and Communications;
- Helman le Pas de Sécheval, General Counsel;
- Nadège Petit, Senior Executive Vice President, North America;
- Isabelle Quainon, Senior Executive Vice President, Human Resources.

In addition, Management Committee meetings bring together, each quarter all the Group's functions and geographies to share and commit to the Group's challenges and outlook. At the date of this document, this Committee had 36 members, including the 14 Management Committee members; its composition can be viewed on Veolia's website (www.veolia.com).

⁽¹⁾ Excluding the two Directors representing employees in accordance with Articles L. 225-27-1 and L. 22-10-7 of the French Commercial Code.

2

ACCOUNTING AND FINANCIAL INFORMATION

2 Accounting and financial information

2.1 KEY FIGURES

Group key figures are presented in accordance with the definitions as described in the publication of the financial statements for the year ended December 31, 2024 (see Chapter 5.1 – Definitions).

(€ million)	2024	2025	2025 / 2024	
			Δ	Δ at constant scope & exchange rates
Revenue	44,692	44,396	-0.7%	1.1%
EBITDA ⁽¹⁾	6,788	7,050	3.9%	5.7%
Current EBIT ^{(2) (3)}	3,547	3,740	5.4%	7.7%
Current Net income - Group share ⁽¹⁾	1,530	1,643	7.3%	9.1%
Net Income - Group share	1,098	1,217	10.9%	
Current net income - Group share, per share (undiluted) ⁽¹⁾	2.13	2.25	5.6%	
Current net income - Group share, per share (diluted) ⁽¹⁾	2.06	2.24	8.9%	
Dividend per share paid during the fiscal year	1.40	1.50 ⁽⁴⁾		
Net industrial investments (including new operating financial assets)	-3,836	-3,855		
Net free cash-flow	1,156	1,178		
Post-tax ROCE	8.8 %	9.4 %		
Net financial debt - Closing ⁽⁵⁾	-17,819	-19,657		

(1) The indicators are defined in Section 5.2.

(2) Including the share of current net income of joint ventures and associates.

(3) Re-presented for depreciation of revalued assets, identified during the Suez purchase price allocation, of €191 million as of December 31, 2024 and €166 million as of December 31, 2025 as defined in Section 5.2.

(4) Amount of dividend proposed to the shareholders and subject to the approval of the General Meeting on April 23, 2026.

(5) Net financial debt excludes the remeasurement of financial liabilities during the Suez purchase price allocation as defined in Section 5.2 of the Universal Registration Document.

The main foreign exchange impacts between December 31, 2025 and December 31, 2024 are as follows:

FX impacts as of December 31, 2025 (vs December 31, 2024)	%	(€ million)
Revenue	-1.7%	-771
EBITDA	-1.8%	-124
Current EBIT	-2.3%	-82
Net financial debt ⁽¹⁾	-1.6%	293

(1) Including fair value adjustment.

2.2 GROUP GEOGRAPHIC PERFORMANCE

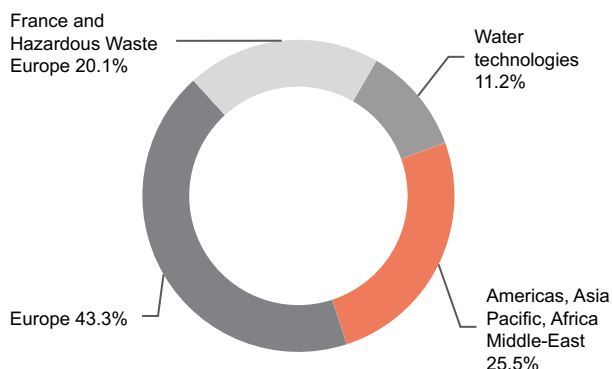
2.2.1 Revenues by operating segment

Group consolidated revenue amounted to €44,396 million at December 31, 2025, compared to €44,692 million at December 31, 2024. The increase was +1.4% at constant scope and exchange rates and +2.8% excluding the effect of energy prices, which mainly affects Europe.

(€ million)	2024	2025	2025/2024		
			Δ	Δ at constant exchange rates	Δ at constant scope and exchange rates
France and Hazardous Waste Europe	9,145	8,914	-2.5%	-2.5%	-0.7
Europe	18,619	19,206	3.2%	3.0%	0.1%
Americas, Asia Pacific, Africa Middle-East	11,945	11,316	-5.3%	-0.3%	4.1%
Water technologies	4,973	4,954	-0.4%	3.7%	3.6%
Other	9	6	-	-	-
GROUP	44,692	44,396	-0.7%	1.1%	1.4%

As of December 31, 2025, revenue by operating segment breaks down as follows:

Revenue as of 2025: €44,396 million



Compared with December 31, 2024, the revenue increase as of December 31, 2025 was +1.4% at constant scope and exchange rates.

Revenue for the **France and Hazardous Waste Europe** segment totaled €8,914 million, showing a slight decrease at constant scope and exchange rates compared to December 31, 2024:

- **Water** revenue of €3,163 million was stable at constant scope and exchange rates despite slightly lower contractual indexations (-0.8%). The activity is supported by strong commercial performance combined with an increase in water volumes (+2.6%).
- **Waste** revenue stood at €2,853 million. The decrease of -3.7% at constant scope and exchange rates is mainly due to lower landfill volumes, decrease in electricity revenue, commercial selectivity, partially offset by tariff indexations;

- **Hazardous Waste Europe** recorded revenue of €2,375 million, showing an increase of +3.3% at constant scope and exchange rates. This performance was mainly driven by price increases and positive momentum in the storage businesses;

Revenue for the **Europe** segment totaled €19,206 million as of December 31, 2025, with organic change of +0.1%, impacted by lower energy prices than in 2024. Excluding energy prices, revenue increased +3.3%, driven by Water (+5.4%) and Energy, combined with the resilience of Waste:

- In **Central and Eastern Europe**, revenue totaled €10,969 million, down by -1.6% at constant scope and exchange rates. Excluding energy prices, revenue showed organic growth of +3.5% thanks to Water progression (increased volumes and price indexations), good volumes in Energy (supported by favorable weather), and stabilized Waste activity. The year was marked by the successful integration of newly acquired electricity flexibility assets in Hungary and the commissioning of a new multi-energy cogeneration unit in Poznan, as part of the coal exit plan in Europe;
- In **Northern Europe**, revenue of €4,272 million rose by +0.9% at constant scope and exchange rates. In the United Kingdom, revenue increased by +0.4% to €2.8 billion at constant scope and forex, despite lower tariff indexation and maintenance outage of waste to energy facilities;
- In **Iberia**, revenue stood at €2,987 million, up 4.9% (excluding foreign exchange and scope effects). This positive momentum is mainly due to the strong performance of the Water sector, which benefited from favorable tariff revision and an increase in consumption: in Spain, where removal of draught restrictions contributed to volume rebound (+2.8%). Energy activities also contributed to this growth through the award of new contracts and the completion of project works;
- **Italy** generated revenue of €978 million, up +1.4% at constant scope and exchange rates, thanks to strong momentum in Energy;

In the **Americas, Asia Pacific, Africa Middle-East**, revenue reached 11,316 million euros, an organic growth of +4.1%, increasing across all geographies:

- In **North America**, revenue reached 3,145 million euros, up +3.6% at constant scope and exchange rate. This growth was mainly driven by the Hazardous Waste activity, supported by strong commercial momentum accompanied by favorable mix, as well as a solid performance in the Regulated Water business with favorable tariff revisions;
- In **Latin America**, revenue stood €1,889 million, an increase of +9.9% at constant scope and exchange rates. This growth was driven by tariff indexations and the increase in water volumes in Chile, and by a strong waste activity in Brazil and in Colombia;
- Revenue in **Asia** rose 0.4% at constant scope and exchange rates to €2,427 million. Revenue increased in Japan driven by Municipal water (price increases, as well as good order book), in South East Asia and in India (waste volumes increase and strong commercial momentum). Revenue in China is slightly down, but the waste activity is growing, particularly in plastic waste, with a recovery in hazardous waste volumes, offset by price pressure.

- In the **Pacific** region, revenue rose +0.9% at constant scope and exchange rates to €2,027 million, and up by +2.6% including tuck-ins which complement the good commercial momentum, in spite of intense competitive pressure in municipal, commercial and industrial waste collection.

- In **Africa Middle-East**, revenue rose +7.2% at constant scope and exchange rates to €1,828 million. This growth was driven by a sustained level of activity in Morocco, as well as the development of energy services in the Middle East, supported by favorable pricing and commercial momentum;

The **Water technologies** business recorded revenue of €4,954 million, up +3.6% at constant scope and exchange rates compared to 2024. This change is due to the growth of higher-margin activities, such as Products & Technologies and Services, offset by timing of project milestones.

2.2.2 EBITDA by operating segment

Group consolidated EBITDA as of December 31, 2025 was €7,050 million, compared with €6,788 million as of December 31, 2024, an increase of +6.3% at constant scope and exchange rates. EBITDA benefited from revenue organic growth of +2.8% excluding energy prices, operating efficiency programs, and synergies generated following the integration of Suez (€100 million).

(€ million)	2024	2025	2025 / 2024		
			Δ	Δ at constant exchange rates	Δ at constant scope and exchange rates
France and Hazardous Waste Europe	1,392	1,475	6.0%	6.0%	6.3%
Europe	2,642	2,758	4.4%	4.2%	1.8%
Americas, Asia Pacific, Africa Middle-East	2,025	2,009	-0.8%	4.2%	9.3%
Water technologies	612	669	9.3%	14.0%	14.1%
Other	117	139	-	-	-
GROUP	6,788	7,050	3.9%	5.7%	6.3%

- **France and Hazardous Waste Europe (+6.3% at constant scope and exchange rates)**: The EBITDA growth reflects excellent operational control. It was driven by the ramp-up of operational efficiency plans and the resilience of our activities. The business is also benefiting from positive volume momentum in Water and a strong performance in the Hazardous Waste division.

- **Europe (+1.8% organic growth)**: Solid performance driven by Southern Europe, with +12% organic growth in Iberia and +8.8% organic growth in Italy thanks to tariff renegotiations and operational efficiency. Northern Europe saw a slight decline due to the impact of incinerator maintenance shutdowns and lower electricity prices in the United Kingdom. In Central Europe, business remained stable and the impact of energy prices was offset by good volumes and a positive climate effect.

- **Americas, Asia Pacific, Africa Middle-East (+9.3% at constant scope and exchange rates)**: Strong momentum in organic growth across all regions, particularly in Asia (+13%)⁽¹⁾, thanks to good volumes in Waste, and in North America (+8.8%)⁽¹⁾. This performance was based on the full implementation of tariff reviews (US Regulated Water, Latin America) and the effectiveness of performance plans designed to protect margins.

- **Water Technologies (+14.1% at constant scope and forex)**: The segment recorded a significant increase in profitability (+120bps EBITDA margin). This result is the fruit of a refocusing on high value-added activities combined with synergies generated by One WaterTech.

⁽¹⁾ At constant scope and exchange rates.

2.3 GROUP PERFORMANCE BY BUSINESS LINE

2.3.1 Revenues by business line

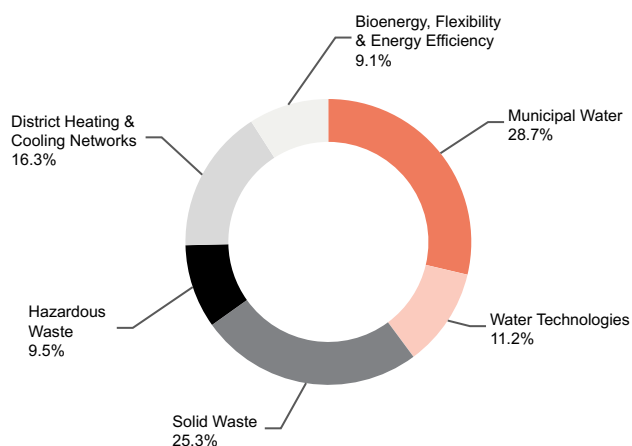
Compared with December 31, 2024, revenue was up +1.4% at constant scope and exchange rates. Excluding energy prices, revenue increased by +2.8%. The change in revenue by business is due to the following:

(€ million)	2024	2025	2025/2024		
			Δ	Δ at constant exchange rates	Δ at constant scope and exchange rates
Municipal Water	13,060	12,739	-2.5%	-1.1%	3.5%
Water Technologies	4,973	4,954	-0.4%	3.7%	3.6%
Water	18,033	17,693	-1.9%	0.2%	3.5%
Solid Waste	11,387	11,226	-1.4%	0.9%	0.5%
Hazardous Waste	4,276	4,217	-1.4%	0.9%	3.8%
Waste	15,662	15,443	-1.4%	0.9%	1.4%
District Heating & Cooling Networks ⁽¹⁾	7,525	7,240	-3.8%	-4.2%	-5.4%
Bioenergy, Flexibility & Energy Efficiency ⁽¹⁾	3,471	4,021	15.8%	17.7%	5.1%
Energy	10,997	11,260	2.4%	2.7%	-2.1%
GROUP	44,692	44,396	-0.7%	1.1%	1.4%

⁽¹⁾ In 2024: €214 million were reclassified from district heating to energy efficiency following a simplification of the reporting process.

Revenue for the period ended December 31, 2025 breaks down by business as follows:

Revenue as of 2025: €44,396 million



The main changes in revenue by business at constant scope and exchange rates compared with figures of December 31, 2024 break down as follows :

Water revenue

Water activities recorded growth of +3.5% at constant scope and exchange rates, mainly driven by tariff increases of +1.5%, as well as improved volumes and good commercial momentum at +2.1%.

Revenue from the **stronghold Municipal Water** rose by +3.5% at constant scope and exchange rates, with tariff increases in most geographies (particularly in Spain, Central and Eastern Europe, North America and Chile) and a favorable commercial impact.

Revenue from **Water Technology booster activities** rose by +3.6% at constant scope and exchange rates. This change is due to the growth of higher-margin activities, such as Products & Technologies and Services, offset by timing of project milestones.

Waste revenue

Revenue from the **Waste** business rose by +1.4% at constant scope and exchange rates, due to tariff revisions (+2.2%), a slight decrease in commodities (-0.5%) and in commerce/volumes/projects (-0.3%).

Revenue from the **stronghold Solid Waste Management** rose by +0.5% at constant scope and exchange rates. This growth is mainly due to favorable tariff increases, particularly in the British and French markets, and strong volumes in Asia and Latin America, offsetting the negative impact of energy prices.

Revenue from the **Hazardous Waste treatment booster** rose by +3.8% at constant scope and exchange rates. This performance is particularly strong in North America and Europe, where Veolia benefits from its unique ability to treat the most difficult types of pollution, supported by tariff increases and improved the optimization of the waste mix.

Energy revenue

Energy revenue varied between -2.1% at constant scope and exchange rates but rose by +3.0% excluding the energy price impact. The unfavorable energy price impact of -5.0% is partially offset by the positive climate impact of +1.7% and the volume/commerce effect of +1.2%.

Revenue from the **stronghold District Heating and Cooling Networks**, mainly located in Central and Eastern Europe, rose by +1.7% at constant scope and exchange rates after neutralizing the impact of energy prices. This growth is driven by good volumes combined with a favorable climate impact.

Revenue from **Bioenergies, Flexibility and Energy Efficiency booster** rose by +5.8% at constant scope and exchange rates, excluding the impact of energy prices, thanks to an increase in volumes in the Middle-East, Italy, Spain and Belgium.

2.3.2 EBITDA by business line

(in € million)	2024	2025	2025/2024		
			Δ	Δ at constant exchange rates	Δ at constant scope and exchange rates
Municipal Water	2,727	2,729	-	1.6%	6.1%
Water Technologies	612	669	9.3%	14.1%	14.1%
Water	3,340	3,398	1.7%	3.9%	7.6%
Solid Waste	1,503	1,566	4.4%	6.8%	6.8%
Hazardous Waste	609	686	12.6%	14.8%	13.0%
Waste	2,110	2,252	6.8%	9.1%	8.6%
District Heating & Cooling Networks ⁽¹⁾	1,091	1,087	-0.4%	-0.5%	-1.5%
Bioenergy, Flexibility & Energy Efficiency ⁽¹⁾	246	312	26.9%	29.3%	5.0%
Energy	1,338	1,400	4.6%	5.0%	-0.3%
GROUP	6,788	7,050	3.9%	5.7%	6.3%

⁽¹⁾ In 2024: €5 million were reclassified from district heating to energy efficiency following a simplification of the reporting process.

Water EBITDA

EBITDA increased by +7.6%⁽¹⁾, driven by the strength of Municipal Water (+6.1%)⁽¹⁾ and the strong acceleration of Water Technologies (+14.1%)⁽¹⁾. This performance reflects the improvement in operational profitability, with the Water Technologies EBITDA margin now reaching 13.5%.

Waste EBITDA

The Waste business recorded a remarkable EBITDA growth of +8.6%⁽¹⁾, driven by solid waste efficiency plans (+6.8%)⁽¹⁾ and good momentum in Hazardous Waste (+13.0%)⁽¹⁾. Pricing effect and mix improvement enabled an EBITDA margin increase of +110 basis points to 14.6%, with a 13.9% EBITDA margin in Solid Waste and 16.3% in Hazardous Waste.

Energy EBITDA

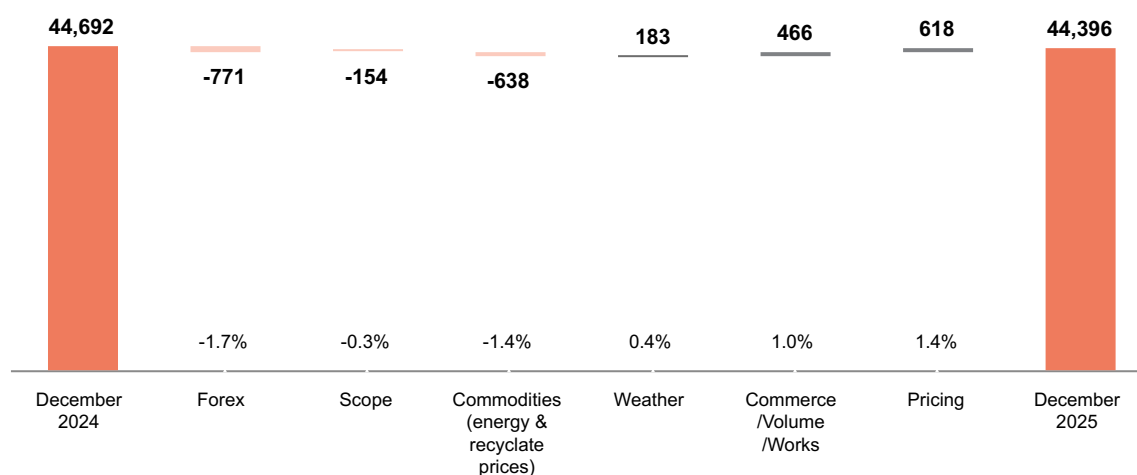
EBITDA was virtually unchanged (-0.3%)⁽¹⁾. The sustained growth in Bioenergies, Flexibility and Energy Efficiency (+5.0%)⁽¹⁾ and a favorable climate effect offset the impact of the new contractual phase in District Heating Networks in Uzbekistan. EBITDA margin improved by +30 basis points to 12.4%.

⁽¹⁾ At constant scope and exchange rates

2.4 GROUP PERFORMANCE EVOLUTION BY EFFECT

2.4.1 Analysis of changes in Group revenues

Revenue was up +1.4% at constant scope and exchange rates, and +2.8% excluding energy prices. It breaks down as follows:



The **Foreign exchange impact** of -€771 million (-1.7%) mainly reflecting the international dimension of the Group (c. 60% of non-euro revenue) and corresponding to the depreciation of the US, Argentine, Australian and Chilean currencies, partially offset by the appreciation of the Polish and Czech currencies⁽¹⁾. It should be noted that these are translation impacts and not transaction impacts, with no impact on margins.

The **Scope effect** of -€154 million (-0.3%) is primarily composed of a negative impact of -€839 million, which mainly includes the impact of the disposals of SADE (France and Special Waste Europe) on February 29, 2024, of Veolia North America Regeneration Services on August 1, 2024, and of Lydec (Morocco) on September 4, 2024. This effect was partially offset both by a positive scope effect of +€685 million due to both the acquisition of the electricity flexibility business in Hungary on January 6, 2025, and acquisitions of Hazardous Waste activities in Japan and the United States.

Commodities (corresponding to changes in energy and recyclate prices) amount to -€638 million (-1.4%), due to lower energy prices (-€630 million), mainly in Central and Eastern Europe, as well as the negative effect of recyclate prices (-€7 million).

The Climate impact is +€183 million (+0.4%), mainly in Central and Eastern Europe due to a harsher winter at the beginning of the year compared to 2024.

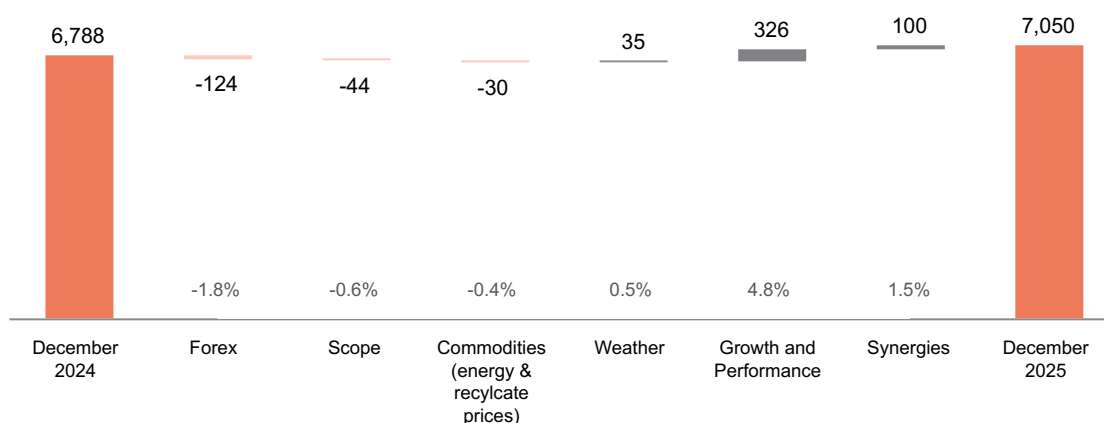
The Commerce/Volumes/Works amounts to +€466 million (+1.0%) driven by good commercial momentum, favorable water volumes, progressing works.

Favorable **Price effects** represent +€618 million (+1.4%), mainly related to tariff reviews for Water and Waste activities.

⁽¹⁾ Main foreign exchange impacts by currency: the US dollar (-€222 million), the Argentine peso (-€139 million), the Australian dollar (-€138 million), the Chilean peso (-€42 million), the zloty (+€46 million), and the Czech koruna (+€37 million).

2.4.2 Analysis of changes in Group EBITDA

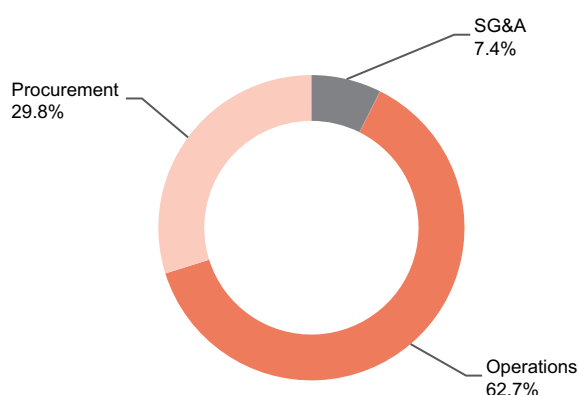
The change in EBITDA between 2024 and 2025 breaks down as follows:



- **Foreign exchange** on EBITDA amounted to -€124 million (-1.8%). This reflects the international dimension of the Group and mainly corresponds to the depreciation of the US, Australian, Chilean and Argentine currencies, partially offset by the Czech and Polish currencies⁽¹⁾. It should be noted that these are translation impacts and not transaction impacts, with no impact on margins.
- **The scope effect** of -€44 million (-0.6%) mainly includes the impact of the disposals of SADE on February 29, 2024, RGS (North America) on August 1, 2024, and Lydec on September 4, 2024, partially offset by the acquisition of an Electricity Flexibility activity in Hungary on January 6, 2025, the acquisition of Zeeklite in May 2025 and the acquisitions carried out in the United States.
- The change in **commodity prices** (energy and recycle) had a net unfavorable impact on EBITDA of -€30 million (-0.4%), mainly tied to lower energy prices.

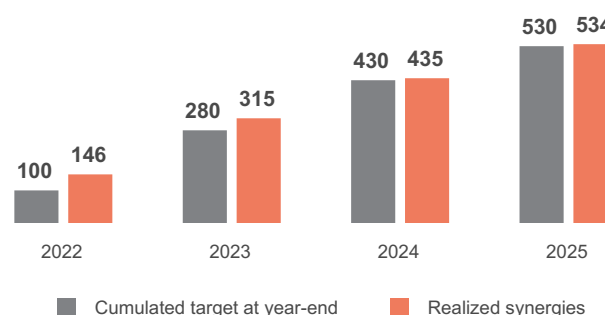
- **The weather impact** was favorable at +€35 million (+0.5%), mainly in Central and Eastern Europe, due to a colder winter in the first quarter of 2025.
- **Growth and performance** of +€326 million (4.8%) was driven by a favorable **Trade/Volumes/Works effect** of €137 million (+2.0%) and by a **price, productivity and efficiency effect**, net of shared gains, which generated €189 million in EBITDA (+2.8%). This represents a retention rate of 47% of the €399 million in gains generated, exceeding the annual objective of €350 million and the amount of One WaterTech synergies was 20 million euros by the end of 2025.

Efficiency plan: €399 M



Synergies generated at the end of December 2025 as part of the integration of Suez amounted to €100 million, mainly from optimizations in purchasing and the Water Technologies segment. These new synergies, combined with those already achieved between 2022 and 2024, amount to €534 million in cumulative synergies at the end of 2025 and exceed the Group's target of €500 million, raised to €530 million.

Cumulated synergies: €534 M



⁽¹⁾ Main currency exchange impacts by currency: the US dollar (-€41 million), the Australian dollar (-€19 million), the Chilean peso (-€18 million), the Argentine peso (-€17 million), the Czech koruna (+€9 million), and the Polish zloty (+€6 million).

2.5 OTHER INCOME STATEMENT ITEMS

2.5.1 Current EBIT

Group Current EBIT for the year ended December 31, 2025 is €3,740 million, up +8.9% at constant scope and exchange rates on the year ended December 31, 2024.

EBITDA reconciles with Current EBIT as follows:

(€ million)	2024	2025
EBITDA	6,788	7,050
Renewal expenses	-295	-305
Amortizations ⁽¹⁾ , including repayment of operational financial assets	-3,156	-3,178
Provisions, capital gain or loss on disposals of fixed assets, and others	78	82
Share of current net income of joint ventures and associates	132	90
Current EBIT	3,547	3,740

The +€316 million (+8.9%) increase in Current EBIT at constant scope and exchange rates compared with figures of December 31, 2024 is mainly due to :

- a strong growth in EBITDA (+€431 million at constant scope and exchange rates);
- an increase in amortization⁽¹⁾, including principal payments on operating financial assets (-€66 million at constant scope and exchange rates);
- the stability of the "provisions, capital gain or loss on disposals of fixed assets, and others" item (+€6 million at constant scope and exchange rates);

- a decrease in the item "share of current net income of joint ventures and associates" (-€36 million at constant scope and exchange rates) mainly due to a litigation provision in the Africa Middle East region and an impairment in Asia.

The impact of foreign exchange fluctuations on current EBIT was unfavorable by -€82 million, mainly due to the depreciation of the US dollar (-€27 million), the Chilean peso (-€13 million), the Argentine peso (-€13 million) and the Australian dollar (-€10 million).

2.5.2 Net financial expense

(€ million)	Year ended December 31, 2024	Year ended December 31, 2025
Current cost of net financial debt (1)	-652	-692
Dividends received	3	4
Foreign exchange gains and losses and fair value adjustments	-89	-45
Other	-288	-273
Other financial income and expense (2)	-374	-313
Gains (losses) on disposals of financial assets (3)	60	14
Current net financial expenses (1)+(2)+(3)	-966	-991
Other non-current financial income and expenses and impact of the remeasurement of financial liabilities	67	17
Net financial expense	-899	-974

Net financial expense as of December 31, 2025 are -€974 million compared with -€899 million as of December 31, 2024. This change of -€63 million is explained by the following:

- **Current net financial income** stood at -€991 million as of December 31, 2025, an increase of -€25 million compared to December 31, 2024. It includes the current cost of net financial debt, at -€692 million as of December 31, 2025.

The Group's financing rate (excluding IFRS 16 impacts) is therefore 3.83% at December 31, 2025, compared with 3.76% at December 31, 2024 (3.79% vs. 3.72% including IFRS 16 impacts).

In addition, **other current financial income and expenses excluding gains (losses) on disposal** amount to -€313 million as of December 31, 2025, an improvement of +€61 million compared to December 31, 2024, mainly due to a favorable change in foreign exchange gains and losses.

Gains (losses) on disposal of financial assets amount to +€14 million, compared with +€60 million as of December 31, 2024. In 2024, they included the gain on disposal of the SADE Group in February 2024.

The "Other current financial income and expenses" item also includes the unwinding of discounts on provisions, interest on concession liabilities and interest on IFRS 16 lease debt.

- **Non-current net financial income** of +€17 million as of December 31, 2025 mainly includes the impact of the amortized cost of the revaluation of the debt from Suez.

⁽¹⁾ Excluding the impact of the Suez purchase price allocation.

2.5.3 Current income tax expense

The current income tax expense for the year ended December 31, 2025 is -€675 million, compared with -€664 million for the year ended December 31, 2024.

The current income tax rate for the year end December 31, 2025 is 25.4%, versus 27.1% for the year ended December 31, 2024.

(€ million)	December 31, 2024	December 31, 2025
Current income before tax (a)	2,581	2,749
Of which share of net income of joint ventures & associates (b)	132	90
Re-presented current income before tax : (c)=(a)-(b)	2,449	2,659
Restated tax expense (d) ⁽¹⁾	-664	-675
RE-PRESENTED TAX RATE ON CURRENT INCOME (d)/(c)	27.1%	25.4 %

2.5.4 Current Net Result / Net Income attributable to the owners of the Company

Net income attributable to owners of the parent company is €1,217 million as of December 31, 2025, compared with €1,098 million as of December 31, 2024:

- Current net result attributable to owners of the Parent Company is €1,643 million for the year ended December 31, 2025, compared with €1,530 million for the year ended December 31, 2024;
- Current net result per share attributable to owners of the parent company is €2.25 (non-diluted) and €2.24 (diluted) as of December 31, 2025, compared with €2.13 (non-diluted) and €2.06 (diluted) as of December 31, 2024;

■ Net result attributable to non-controlling interests is €402 million as of December 31, 2025, compared with €347 million as of December 31, 2024, and is consistent with the growth in the Group's net income, particularly in Central and Eastern Europe and in Spain;

■ The net result from discontinued operations for the fiscal years 2025 and 2024 primarily relates to the EPC (Engineering, Procurement, Construction) activity discontinued across all geographies.

Net income attributable to owners of the Company breaks down as follows:

(€ million)	2024			2025		
	Current	Non-current & PPA *	Total	Current	Non-current & PPA *	Total
EBIT	3,547	-535	3,012	3,740	-441	3,298
Cost of net financial debt	-652	62	-590	-692	38	-654
Other financial income and expenses	-314	6	-309	-299	-22	-321
Pre-tax net income (loss)	2,581	-467	2,114	2,749	-425	2,324
Income tax expense	-664	98	-566	-675	88	-587
Net income (loss) from discontinued operations	0	-103	-103	-	-118	-118
Attributable to non-controlling interests	-387	40	-347	-431	30	-402
NET INCOME (LOSS) ATTRIBUTABLE TO OWNERS OF THE COMPANY	1,530	-433	1,098	1,643	-425	1,217

* Including non-current items, as well as depreciation of remeasured assets and the remeasurement of financial liabilities in the context of the Suez purchase price allocation as defined in Section 5.2 below.

Current EBIT reconciles with operating income, as presented in the income statement, as follows:

(€ million)	2024	2025
Current EBIT	3,547	3,740
Net charges to non-current provisions	-2	-2
Restructuring costs	-137	-134
Non-current amortizations, provisions and impairment of property, plant and equipment, intangible assets, operating financial assets and other	-362	-295
Share acquisition costs, with or without acquisition of control	-32	-6
Total non-current items	-535	-441
OPERATING INCOME AFTER SHARE OF NET INCOME OF EQUITY-ACCOUNTED ENTITIES	3,012	3,299

- Restructuring costs mainly concerned France, Central Europe, Asia Pacific and Latin America;
- Non-current depreciation, amortization, provisions and impairment of property, plant and equipment, intangible assets and operating financial assets and other non-current expenses mainly include:

- depreciation of assets revalued as part of the Suez purchase price allocation of -€166 million in the year ended December 31, 2025, compared with -€191 million in the year ended December 31, 2024;
- the cost of integrating the Suez scope (migrating IT systems to common platforms, rebranding and assistance with organizational changes) for -€51 million, as well as the expenses resulting from the signing of the settlement agreement with Lithuania for -€35 million.

3

FINANCING

3 Financing

3.1 CHANGE IN FREE CASH FLOW AND NET FINANCIAL DEBT

Net free cash flow before financial investments and dividends was + €1,178 million as of December 31, 2025, versus +€1,156 million as of December 31, 2024.

The change in net free cash flow compared with December 31, 2024 reflects:

- the +€263 million increase in EBITDA, driven by organic activity growth and gains generated by operating and commercial efficiency plans as well as Suez synergies;
- net industrial investments of -3,855 million euros, an increase of -19 million euros compared to December 31, 2024. These include ongoing decarbonization projects in Central and Eastern Europe for an amount of 130 million euros, as well as investments in hazardous waste treatment projects for 206 million euros and in PFAS (forever chemicals) projects;
- the change in operating working capital requirement is -€120 million, compared with +€75 million in December 2024.

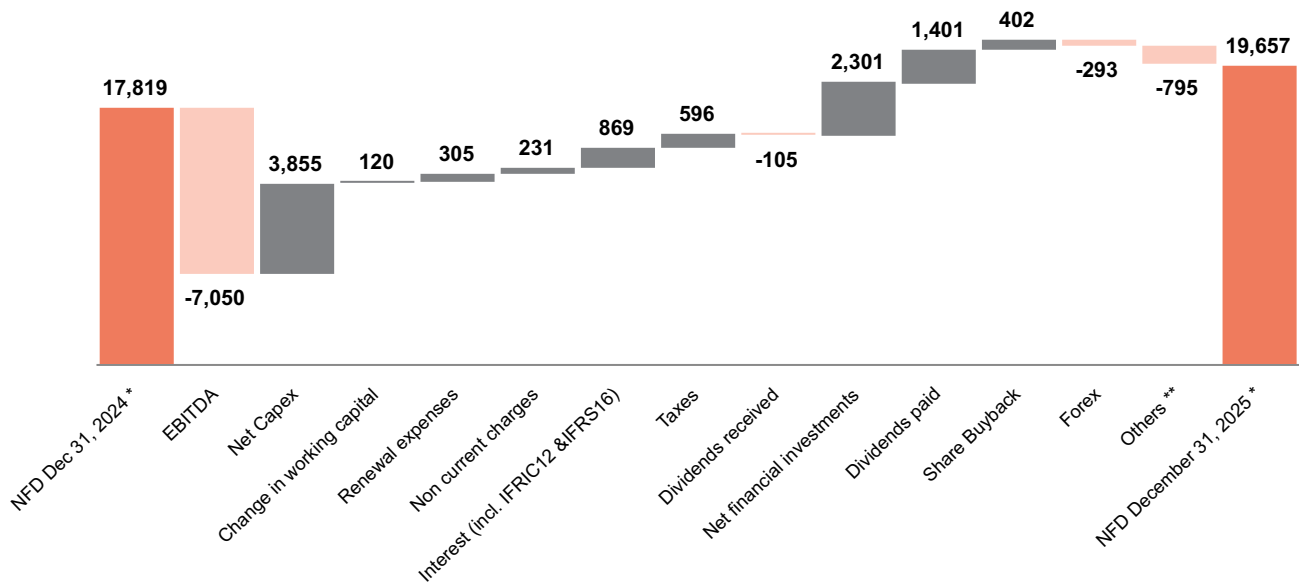
Net financial debt amounted to €19,657 million as of December 31, 2025, compared with €17,819 million as of December 31, 2024.

Compared with December 31, 2024, the change in net financial debt is mainly due to:

- net free cash flow of +€1,178 million;
- net financial investments of -€2,301 million from divestitures following significant acquisitions in the first half of the year, such as the acquisition of WTS's minority interests in June 2025, investments in Hazardous Waste projects in the United States, Brazil and Japan in May, June and August 2025 and the acquisition of the Electricity Flexibility business in Hungary in January 2025 (see 1.2.2 Changes in Group structure);
- the payment of the dividends voted by the Combined General Meeting of April 24, 2025 in the amount of -€1,023 million;
- the first green bond issue, which took the form of a green hybrid bond, for a net amount of €497 million;
- the share capital increase under the Sequoia 2025 employee share ownership program for a net amount of €318 million;
- the concurrent capital reduction through cancellation of €402 million in treasury shares acquired under the share buy-back program, to neutralize the dilutive effect of the Sequoia offer.

Net financial debt was also impacted by foreign exchange gains and losses and fair value adjustments of €293 million as of December 31, 2025, mainly as a result of variation in the dollar.

(€ million)	2024	2025
EBITDA	6,788	7,050
Net industrial investments	-3,836	-3,855
Change in operating WCR	75	-120
Dividends received	123	105
Renewal expenses	-295	-305
Other non-current costs and restructuring costs	-267	-231
Interest on concession liabilities (I12)	-86	-79
Interest on right of use (IFRS 16)	-66	-67
Financial items (current cash financial expense, and operating cash flow from financing activities)	-700	-724
Taxes paid	-579	-596
Net free cash flow before dividend payment, financial investments and financial divestitures	1,156	1,178
Dividends paid	-1,299	-1,401
Net financial investments	397	-2,301
Change in receivables and other financial assets	47	-12
Issue/repayment of deeply subordinated securities	-221	492
Proceeds on issue of shares	336	326
Share Buyback		-402
Free cash-flow	416	-2,121
Effect of foreign exchange rate	-157	293
Other movements	-113	37
Change	146	-1,790
Opening net financial debt	-17,903	-17,819
Impact of the remeasurement of financial liabilities	-62	-47
CLOSING NET FINANCIAL DEBT	-17,819	-19,657



*Net financial debt excluding the impact of the remeasurement of debt as part of the Suez purchase price allocation, see Section 5.2.

** Of which -€497 million through a green hybrid bond and -€318 million related to the Sequoia offer.

3.2 INDUSTRIAL AND FINANCIAL INVESTMENTS

3.2.1 Net Industrial investments

Group net industrial investments, including new operating financial assets, total €3,855 million as of December 31, 2025, compared with €3,836 million as of December 31, 2024.

Gross industrial investments total €4,056 million as of December 31, 2025 and include maintenance investments of €1,909 million (including IFRS 16), contractual growth investments of €1,544 million and discretionary investments of €604 million. They include new operating financial assets of €156 million.

Industrial disposals amounted to -201 million euros as of December 31, 2025, resulting from the existing asset base rotation program; they mainly include disposals carried out in France and related to the Special Waste Europe business (-63 million euros), North America (-34 million euros), Central and Eastern Europe (-33 million euros), and Northern Europe (-25 million euros).

Industrial investments for the year ended December 31, 2025, excluding discontinued operations, break down by **segment** as follows:

Period ended December 31, 2025 (€ million)	Total gross industrial investments	Industrial divestitures	Total net industrial investments
France and Hazardous Waste Europe	877	-63	814
Europe	1,655	-72	1,583
Americas, Asia Pacific, Africa Middle-East	1,278	-48	1,231
Water technologies	213	-17	196
Other	33	-2	31
GROUP	4,056	-201	3,855

Gross industrial investments total €4,040 million as of December 31, 2024 and include maintenance investments of €1,932 million (including IFRS 16), contractual growth investments of €1,446 million and discretionary investments of €663 million. They include new operating financial assets of €226 million.

Industrial divestitures total -€204 million as of December 31, 2024 and concern the existing asset rotation program; they mainly include France and Special Waste Europe (-€53 million), Central and Eastern Europe (-€50 million), Asia Pacific (-€22 million) and Water Technologies (-€19 million).

Industrial investments for the year ended December 31, 2024 excluding discontinued operations, broke down by **segment** as follows :

Period ended December 31, 2024 (€ million)	Total gross industrial investments	Industrial divestitures	Total net industrial investments
France and Hazardous Waste Europe	855	-53	801
Europe	1,655	-73	1,582
Americas, Asia Pacific, Africa Middle-East	1,266	-48	1,218
Water technologies	235	-19	216
Other	30	-11	19
GROUP	4,040	-204	3,836

3.2.2 Net financial investments

Net financial investments as of December 31, 2025 total -€2,301 million (including acquisition costs, net financial debt of acquired entities and disposal costs).

Financial acquisitions as of December 31, 2025 total -€2,415 million and primarily comprise the following items:

- the acquisition of Danubius (Hungary) on January 6, 2025 for a net amount of €271 million; this transaction allows the Group to operate the Gönyü gas power plant;
- the acquisition of New England Disposal Technologies LLC (United States), a hazardous waste treatment and emergency response subsidiary, for a net amount of €67 million on May 2, 2025;
- the acquisition of Bio-Med Innovations LLC (United States), a licensed medical waste storage and treatment facility in Massachusetts operated by Bio-Med Innovation, for a net amount of €33 million on May 13, 2025;
- the acquisition of Zeeklite (Japan), which operates one of the largest private hazardous waste landfill sites in the country, for a net amount of €85 million on May 30, 2025;
- the acquisition of Ingenium (United States), a company that manages hazardous, non-hazardous and medical products with an extensive range of services including packaging, transportation, recycling and disposal. The net amount of the transaction on June 24, 2025 was €90 million.
- purchase of the minority stake (30%) held by CDPQ in WTS in the United States for €1.5 billion on June 30, 2025;
- the acquisition of Chameleon Industries (United States), a company that uses byproducts from the semiconductor manufacturing process in its proprietary applications, reduces waste and creates beneficial products for industry. The net amount of the transaction on June 24, 2025 was €57 million.

The disposal of financial assets as of December 31, 2025 (including disposal costs) amounts to €114 million and mainly concerns:

- the receipt of the deferred payment of the final price for the February 2024 disposal of SADE for €11 million;
- the partial disposal of the Group's stake in water concessions in the Canary Islands, for €32 million.

Net financial investments for the year ended December 31, 2024 totaled +€397 million (including acquisition costs, net financial debt of acquired entities and disposal costs).

Financial acquisitions as of December 31, 2024 amounted to -€641 million and mainly concerned the acquisition of the recycling and waste management activities of Friedrich Hofmann GmbH for €315 million as of March 1, 2024.

The disposal of financial assets as of December 31, 2024 (including disposal costs) amounts to +€1,037 million and mainly includes the disposal of SADE for a net amount of €175 million, the disposal of Veolia North America Regeneration Services (United States) for €588 million and the disposal of the Group's interest in Lydec (Morocco) for €107 million.

3.3 OPERATING WORKING CAPITAL

The change in operating working capital requirements (excluding discontinued operations) is -€120 million for the year ended December 31, 2025, compared with +€75 million for the year ended December 31, 2024.

The decrease in the change in operational working capital requirement compared to December 31, 2024 is mainly due to the disbursement related to the Flint litigation following the settlement agreement concluded in 2025, scope entries with a negative change in working capital requirement during 2025, and the change in the frequency of royalty payments in water activities in France.

See Note 5.3 to the consolidated financial statements for the year ended December 31, 2025.

3.4 EXTERNAL FINANCING

Structure of the net financial debt

As of December 31, 2025, net financial debt after hedging is 85% at fixed rates, compared with 97% as of December 31, 2024. The average maturity of net financial debt is 6.5 years as of December 31, 2025 compared with 7.1 years as of December 31, 2024.

(€ million)	Note to the Consolidated Financial Statements	As of December 31, 2024	As of December 31, 2025
Non-current financial liabilities	8.1.1	19,805	20,492
Current financial liabilities	8.1.1	9,281	8,810
Bank overdraft and other cash position items	8.1.3	197	215
Sub-total borrowings		29,283	29,518
Cash and cash equivalents	8.1.3	-9,601	-8,021
Liquid assets and financing-related assets	8.1.2	-2,018	-1,952
Fair value gains (losses) on hedge derivatives		366	276
Remeasurement of financial liabilities ⁽¹⁾		-212	-164
NET FINANCIAL DEBT		17,819	19,657

⁽¹⁾ Net financial debt excludes the remeasurement of financial liabilities in the context of the Suez purchase price allocation as defined in Section 5.2. below.

Group liquidity position

Liquid assets of the Group as of December 31, 2025 break down as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025
Veolia Environnement :		
Undrawn syndicated loan facility	4,500	4,500
Undrawn MT bilateral credit lines	724	765
Undrawn ST bilateral credit lines	-	0
Cash and cash equivalents ⁽¹⁾	9,349	7,551
Subsidiaries :		
Undrawn bilateral credit lines	949	673
Cash and cash equivalents ⁽¹⁾	2,270	2,422
Total liquid assets	17,792	15,911
Current debt, bank overdrafts and other cash position items		
Current debt	9,281	8,810
Bank overdrafts and other cash position items	197	215
Total current debt, bank overdrafts and other cash position items	9,478	9,026
TOTAL LIQUID ASSETS NET OF CURRENT DEBT, BANK OVERDRAFTS AND OTHER CASH POSITION ITEMS	8,313	6,886

⁽¹⁾ Including liquid assets and financing financial assets included in Net financial debt.

Banks Covenants

See Note 8.3.2.3 to the consolidated financial statements as of December 31, 2025.

4

OTHER ITEMS

4 Other items

4.1 RETURN ON CAPITAL EMPLOYED (ROCE)

(€ million)	As of December 31, 2024	As of December 31, 2025
Current EBIT	3,547	3,740
- Current income tax expense	-664	-675
Current EBIT after tax	2,883	3,065

(€ million)	As of December 31, 2024	As of December 31, 2025
Intangible assets and property, plant and equipment, net	26,018	26,350
Right of use	1,819	1,806
Goodwill, net of impairment	11,783	11,456
Investments in joint ventures and associates	1,676	1,564
Operating financial assets	1,353	1,147
Net Working Capital Requirements	-4,004	-4,012
Net deferred taxes	-648	-588
Non-current and current concession liabilities	-1,762	-1,650
Net derivatives and other instruments	119	147
Provisions	-3,815	-3,921
Capital employed	32,539	32,299
Impact of discontinued operations and other restatements ⁽¹⁾	706	289
Represented capital employed	33,245	32,589

⁽¹⁾ 2024 average capital employed (including IFRS 16) includes the reintegration of the capital employed for the activities disposed of RGS, Lydec and the acquisition of Hofmann.

(€ million)	Current EBIT after tax	Average capital employed	Post-tax ROCE
2024 (incl. IFRS 16)	2,883	32,619	8.8 %
2025 (incl. IFRS 16)	3,065	32,564	9.4 %

Post-tax ROCE is 9.4% as of December 31, 2025; it rose +0.6 points compared to 2024 driven by the positive effects of (i) growth in post-tax current EBIT of +6.3% and (ii) the -0.2% decrease in average capital employed.

4.2 STATUTORY AUDITORS' FEES

(€ million)	KPMG SA		Deloitte		Ernst & Young			
	Amount	Percentage	Amount	Percentage	Amount	Percentage	Amount	Percentage
	2024	2024	2025	2025	2024	2024	2025	2025
Certification of individual and consolidated accounts and limited annual review								
Veolia Environnement	2.1	16 %	2.1	11 %	2.2	10 %	2.3	10 %
Controlled entities	9.2	68 %	13.1	68 %	18.0	80 %	18.6	82 %
Sub-total (a)	11.3	84 %	15.2	79 %	20.2	90 %	20.9	92 %
Non-audit services required by legal and regulatory texts								
Veolia Environnement	0.6	4 %	0.5	3 %	0.6	3 %	0.7	3 %
Controlled entities	0.1	1 %	-	- %	0.4	2 %	0.1	— %
Sub-total (b)	0.7	5 %	0.5	3 %	1.0	4 %	0.8	4 %
Non-audit services provided at the request of the entity								
Veolia Environnement	0.4	3 %	2.2	11 %	0.3	1 %	0.1	— %
Controlled entities	1.1	8 %	1.3	7 %	1.0	4 %	1.0	4 %
Sub-total (c)	1.5	11 %	3.5	18 %	1.3	6 %	1.1	5 %
Non-audit services								
Sub-total (d) = (b) + (c)	2.2	16 %	4.0	21 %	2.3	10 %	1.9	8 %
TOTAL (e) = (a) + (d)	13.5	100 %	19.2	100 %	22.5	100 %	22.8	100 %

At the Combined General Meeting held on April 24, 2025, Deloitte & Associés was appointed as statutory auditors in charge of certifying the financial statements (see Section 1 of Operating and financial review).

Audit fees (Deloitte and Ernst & Young) certifying the Group's accounts amounted to €42 million for the 2025 fiscal year, including:

- €36 million in respect of the statutory audit of the accounts;
- €5 million in respect of services falling within the scope of diligences directly related to the audit engagement;
- €1 million for the certification of the sustainability statement set by the CSRD "Corporate Sustainability Reporting Directive".

4.3 RELATED-PARTY TRANSACTIONS

The Group identifies related parties in accordance with the provisions of paragraph 9 of IAS 24 revised, Related Party Disclosures (see Note 13 to the consolidated financial statements for the year ended December 31, 2025).

4.4 SUBSEQUENT EVENTS

No significant events occurred between the reporting date and the date on which the consolidated financial statements were approved by the Board of Directors.

4.5 RISK FACTORS

The main risk factors the Group could face are set out in Chapter 2 of the 2025 Universal Registration Document.

4.6 OUTLOOK

2026 OBJECTIVES

- Solid organic⁽¹⁾ revenue growth excl. energy prices
- Organic⁽¹⁾ EBITDA growth of +5% to +6%
- Current net income Group share⁽²⁾ growth of minimum +8% at constant forex and excl. Clean Earth
- Current EPS Group share⁽²⁾ to grow in line with current net income Group share⁽²⁾ (thanks to share buyback plan to compensate the impact of the employee shareholding program)
- Dividend growth in line with current EPS Group share growth⁽²⁾
- Leverage ratio equal or below 3x excluding Clean Earth (equal or slightly above 3x with Clean Earth)

In addition,

Assuming Clean Earth acquisition closing mid 2026, the transaction will be accretive to current net income from 2027 (before PPA) and synergies will start in 2027.

The €2bn+ disposal program will be delivered in the two-years post closing of Clean Earth acquisition.

GreenUp trajectory is fully confirmed.

⁽¹⁾ At constant scope and forex

⁽²⁾ Before PPA.

5

APPENDICES

5 Appendices

5.1 RECONCILIATION OF GAAP INDICATORS AND THE INDICATORS USED BY THE GROUP

The reconciliation of Current EBIT with Operating income, as shown in the income statement, is presented in Section 2.4.4

Likewise, the reconciliation of Current net income with Net income attributable to owners of the Company, as shown in the income statement, is presented in Section 2.4.4.

The reconciliation of Net cash from operating activities of continuing operations (included in the Consolidated Cash Flow Statement) with net free cash flow is as follows:

(€ million)	2024	2025
Net cash from operating activities of continuing operations	5,044	5,150
including:		
Industrial investments, net of grants	-2,965	-3,056
Proceeds on disposals of industrial assets	204	201
New operating financial assets	-226	-156
Principal payments on operating financial assets	227	268
New finance lease debt	-587	-566
Dividends received	123	105
Interest paid	-737	-765
Excluding :		
Share acquisition and disposal costs, and other items	74	-3
Net free cash-flow	1,156	1,178

The reconciliation of Industrial investments, net of grants (included in the Consolidated Cash Flow Statement) with industrial investments is as follows:

(€ million)	2024	2025
Industrial investments, net of grants	-2,965	-3,056
New finance lease debt	-587	-566
Change in concession working capital requirements	-263	-278
New operating financial assets	-226	-156
Industrial Investments	-4,040	-4,056

5.2 DEFINITIONS

No changes have been made to non-GAAP financial indicators used by the Group in the preparation of the financial statements as of December 31, 2024.

5.2.1 Strictly accounting indicators (GAAP: IFRS)

Cost of net financial debt is equal to the cost of gross debt excluding IFRS 16 financial interest presented in other financial expenses and including related gains and losses on interest rate and currency hedges, less income on cash and cash equivalents.

Operating cash flow before changes in working capital, as presented in the Consolidated Cash Flow Statement, is comprised of three components: operating cash flow from operating activities (referred to as "adjusted operating cash flow" and known in French as "capacité d'autofinancement opérationnelle") consisting of operating income and expenses received and paid ("cash"), operating cash flow from financing activities including cash financial items relating to other financial income and expenses and operating cash flow from discontinued operations composed of cash operating and financial income and expense items classified in net income from discontinued operations pursuant to IFRS 5. Adjusted operating cash flow does not include the share of net income attributable to equity-accounted entities.

Net income (loss) from discontinued operations is the total of income and expenses, net of tax, related to businesses divested or in the course of divestiture, in accordance with IFRS 5.

5.2.2 Non-Strictly accounting indicators (non GAAP)

The expression "**change at constant exchange rates**" represents the change resulting from the application of exchange rates of the prior period to the current period, all other things being equal.

EBITDA comprises the sum of all operating income and expenses received and paid (excluding restructuring costs, non-current working capital impairments, renewal expenses and share acquisition and disposal costs) and principal payments on operating financial assets.

The EBITDA margin is defined as the ratio of EBITDA to revenue.

To calculate **current EBIT** (which includes the share of current net income of joint ventures and associates), the following items are deducted from operating income:

- impairment of goodwill of controlled subsidiaries and equity-accounted entities;
- restructuring charges;
- non-current provisions and impairment;

- non-current and/or significant impairment of non-current assets (property, plant and equipment, intangible assets and operating financial assets);
- depreciation of remeasured assets in the context of the Suez purchase price allocation;
- share acquisition costs.

The **cost of current net financial debt** represents the cost of net financial debt, excluding the amortization of debt remeasured as part of the Suez purchase price allocation.

To obtain the **Group's current net income**, the following items are excluded from the Group's net income:

- non-current items of net income;
- amortization of revalued assets as part of the Suez purchase price allocation exercise, net of tax and minority interests;
- amortization of revalued debt as part of the Suez purchase price allocation exercise, net of tax and minority interests

Current net income Group share per share (or **current net earnings Group share per share**) is calculated by dividing the Group's current net income for the period (not adjusted for the amount of the coupon attributable to holders of deeply subordinated notes) by the weighted average number of shares outstanding during the period.

Net industrial investments, as presented in the statement of changes in net financial debt, include industrial investments (purchases of intangible assets and property, plant and equipment, and new operating financial assets), net of industrial asset divestitures.

The Group identifies three categories of investment:

- maintenance investments which reflect the replacement of equipment and installations used by the Group;
- growth investments which broadly correspond to investments included within our existing contracts or contractual requirements;
- discretionary growth investments which reflect investments in new equipment and installations linked to new projects, contract wins or significant new developments and extensions to existing projects or contracts.

The last two categories are defined as growth investments.

Net financial investments as presented in the statement of changes in net financial debt include financial investments, net of financial divestitures.

Financial investments include purchases of financial assets, including the net financial debt of companies entering the scope of consolidation, and partial purchases resulting from transactions with shareholders where there is no change in control.

Financial divestitures include disposals of financial assets including the net financial debt of companies leaving the scope of consolidation, and partial divestitures resulting from transactions with shareholders where there is no change in control, as well as issues of share capital by non-controlling interests.

Net free cash flow corresponds to free cash flow from continuing operations, and is equal to the sum of EBITDA, dividends received, changes in operating working capital and operating cash flow from financing activities, less net financial expenses, net industrial investments, taxes paid, renewal expenses, restructuring costs and other non-current expenses.

Net financial debt (NFD) represents gross financial debt (non-current borrowings, current borrowings, bank overdrafts and other cash position items) which includes IFRS 16 lease debt, net of cash and cash equivalents, liquid assets and financing-related assets, including fair value adjustments to derivatives hedging debt. Liquid assets are financial assets composed of funds or securities with an initial maturity of more than three months, easily convertible into cash, and managed with respect to a liquidity objective while maintaining a low capital risk. Net financial debt excludes the net impact of the remeasurement of debt in the context of the Suez purchase price allocation.

The leverage ratio (or **financial leverage**) is the ratio of closing net financial debt including IFRS 16 to EBITDA including IFRS 16.

The financing rate is defined as the ratio of the cost of net financial debt (excluding IFRS 16 lease debt and fair value adjustments to instruments not qualifying for hedge accounting) to average monthly net financial debt excluding IFRS 16 lease debt for the period, including the cost of net financial debt of discontinued operations.

The post-tax return on capital employed (ROCE) is defined as the ratio of:

- current EBIT as defined above, including the share of net result of equity-accounted entities, after tax. It is calculated by subtracting the current tax expense from current EBIT, including the share of net result of equity-accounted entities. The current tax expense is the tax expense in the income statement re-presented for tax effects on non-current items and tax effects of the depreciation of assets revalued in the context of the Suez purchase price allocation; to
- average capital employed in the year, including operating financial assets and investments in joint ventures and associates. Capital employed used in the post-tax ROCE calculation is therefore equal to the sum of net intangible assets and property, plant and equipment, goodwill net of impairment, investments in joint ventures and associates, operating financial assets, net operating and non-operating working capital requirements and net derivative instruments less provisions. It also includes the capital employed of activities classified within assets and liabilities held for sale, excluding discontinued operations. They are also adjusted for the effects of scope operations in order to be consistent with the contribution at the EBIT level.



Veolia Environnement

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